

Week 6 Reading

Optimal Static Decisions

1 Assignment

No formal discussion this week (exam week).

As preparation for Wednesday's lecture on Optimal Static Decisions, read the first few pages of D. van Dantzig [1]. Focus on understanding the problem setup: how van Dantzig frames the trade-off between dike construction costs and expected flood damages.

2 References

Bibliography

- [1] D. van Dantzig, "Economic Decision Problems for Flood Prevention," *Econometrica*, vol. 24, no. 3, pp. 276–287, 1956, doi: 10.2307/1911632.